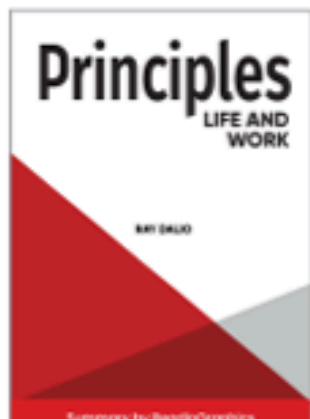




PRINCIPLES

Life and Work

RAY DALIO



The Big “So What”

Successful people are guided by principles, i.e. fundamental truths that guide their actions to help them achieve what they want in life. In this book, billionaire Ray Dalio shares the Principles that have helped him to succeed in work and life, in hope of helping you to uncover and apply *your* principles.



Introduction

After his early career success as an investment trader and broker, Dalio started his own brokerage firm, Bridgewater, in 1975. His achievements led him to become overconfident of his ability to predict the financial market. After suffering several major setbacks—including losing everything in the 1980s’ market crash—he humbled himself, learned from his failures, and consistently documented and tested his decision-making criteria to gain powerful insights about work and life.

Dalio stopped running Bridgewater top-down as the sole expert and authority, and shifted to an idea meritocracy where the wisdom of every person in the organization can be harnessed. He sought to deepen/widen his perspectives, understand how humans think and behave, and how to leverage strengths toward specific goals. He also relentlessly refined his approach to investments (which will be elaborated in another book on investment principles).

The book is organized into 3 sections: (i) a detailed account of Dalio’s personal journey and a breakdown of his (ii) Life Principles and (iii) Work Principles. **In this summary, we’ll present the Principles in 2 parts.**

KEY QUOTES

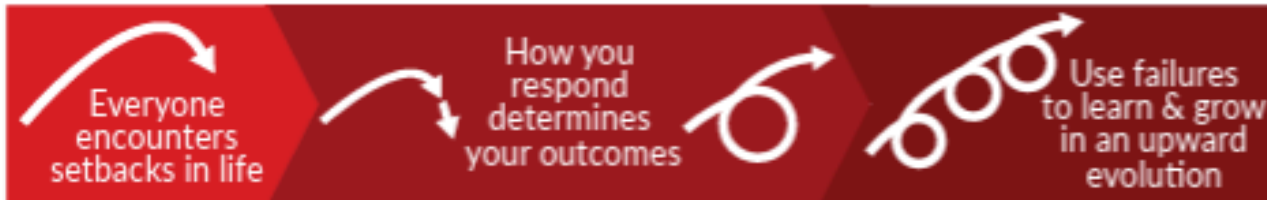
“To be principled means to consistently operate with principles that can be clearly explained.”

“The most important thing you can do is to gather the lessons these failures provide and gain humility and radical open-mindedness in order to increase your chances of success.”



Part 1: Life Principles

The overarching principle in life is to think for yourself: decide (i) what you want, (ii) what's the truth, and (iii) how to achieve (i) based on (ii). Get clear on your principles and write them down so you can live with clarity and integrity.



1. Embrace Reality



Be a “Hyperrealist”. Embrace *all* aspects of reality—both the good and bad. Dream big, but choose your goals wisely and take persistent action to realize them.



Learn from Nature. Mankind didn't invent the laws of nature; we merely learned them. Nature operates at a systemic level, balancing self-preservation with complex incentives and relationships so everything can coexist. To thrive, (i) align yourself with the group's goals, (ii) optimize for the whole (not yourself), and (iii) evolve through rapid trial and error.

- Don't insist on how things “should” be. Things that seem “bad” at a personal level always looks different from a higher perspective. Generally, something is “good” if it's aligned with reality and contributes to evolution as a whole. The more you support the larger good, the more you'll be rewarded.
- Evolve or perish. Everything evolves. Energy is transformed from one form to another, and all living things are merely DNA vessels in the evolutionary process. *Nothing* stays constant—you're either moving up or down the evolutionary curve.
- Strength is built by pushing one's limits. No pain, no gain.



To find new insights and solutions, see things from a higher plane.

- You're a machine within a larger machine. Think like the machine's manager/designer, not just a worker.

KEY QUOTES

“The principles you choose can be anything you want them to be as long as they are authentic—i.e., as long as they reflect your true character and values.”

“There is nothing more important than understanding how reality works and how to deal with it.”

“Don't worry about whether you like your situation or not. Life doesn't give a damn about what you like.”

“Perfection doesn't exist; it is a goal that fuels a never-ending process of adaptation.”

- Don't deny your weaknesses. Accept them and (i) convert them to strengths, (ii) work around them, or (iii) change your goals.
- Don't focus on first-order consequences or immediate outcomes (e.g. the pain and fatigue from exercise). Consider second-order and third-order consequences (e.g. better health /appearance) which are more significant.

 **Pain + Reflection = Progress.** Reflect calmly during/after a painful experience to push through to a higher level. When you embrace who you are (including your weaknesses), you'll feel freer and happier.

2. Use this 5-Step Process to get what you want from life



Focus on 1 step at a time, then repeat the process in a loop. No one is equally good at all 5 steps—identify where you normally stumble, then find people/solutions to address your weaknesses. Be humble and build good mental maps to learn/improve.



Synthesize (steps 1-3) so you know what's happening and where you're headed.

Shape outcomes (steps 4-5) by designing and implementing solutions.

 **Set clear, audacious goals.** You can't do/have everything. Choose your priorities (based on your values) and reject the rest. Don't confuse trappings of success (e.g. money, status) with what gives you true, long-term happiness. Set audacious goals that'll push you to achieve your potential.

 **Don't tolerate problems.** Acknowledge them and treat them as opportunities for improvement. Be precise in identifying the problem, so you can apply the right solution. Focus on issues that'll create the biggest impact.

 **Diagnose the root causes.** *Proximate* causes usually involve actions/inactions behind a problem, and are expressed as a verb (e.g. My conclusion was wrong because I didn't do proper research). *Root causes*, if resolved, will remove the

KEY QUOTES

"If you can be open with your weaknesses it will make you freer and will help you deal with them better."

"Maturity is the ability to reject good alternatives in order to pursue even better ones."

"View painful problems as potential improvements that are screaming at you."

problem. They usually involve adjectives (e.g. I didn't do proper research because I was lazy). It requires that you to face up to unpleasant realities about yourself/others.



Design a plan before you act. Review what happened to bring you to where you are now, then look ahead to forecast what's required to reach your goals. See the big picture and interlinkages—you just need 1 out of many possible paths to your goal. Plan broadly, then zoom in on specific tasks, timelines, issues etc. Put the plan on paper so everyone knows what to do and how to measure progress.



Execute to completion. Constantly check that your goals and tasks are aligned, i.e. you're on-track. Develop good work habits and use metrics to track your progress.

3. Be Radically Open-Minded



The subconscious, primal part of our brain (amygdala) is constantly fighting with the conscious, rational part of our brain (pre-frontal cortex). Our ego leads us to reject our mistakes and weaknesses. We also tend to react defensively when others point out our *blind spots*. When your emotions hijack your logic, you act irrationally. Be radically open-minded and overcome your ego and blind spots:

- Be open to opposing views. Invite others to tell you if you're wrong. Temporarily suspend your judgement to see others' perspectives. Realize that you don't know everything, and it's better to know the truth than *appear* to be right or smart.
- Seek to find the best possible answer, not just your best answer. Gather all relevant info, *then* decide. Learn before trying to espouse your views.
- Watch for signs of closed-mindedness vs open-mindedness:

Signs of close-mindedness	Signs of open-mindedness
Get angry when challenged	Curious about reasons for disagreement
Make statements	Ask genuine questions
Focus on being understood	Focus on understanding others' views
Stop others from talking	Encourage others to share their views
Hold only 1 view at a time	Can consider ≥ 2 conflicting ideas



Use these practices to develop radical open-mindedness:

KEY QUOTES

"Designing precedes doing."

"Lose sight of the why and you will surely lose sight of your goals."

"To be effective you must not let your need to be right be more important than your need to find out what's true."

"Everyone makes mistakes. The main difference is that successful people learn from them and unsuccessful people don't."

- Use thoughtful disagreement to figure out the truth. Express your desire to understand the situation and invite the other party to do the same. Be calm and reasonable, focus on facts and the big picture, and show that you're actively considering others' views.
- Triangulate with smart, believable people. Someone is believable if he/she has a proven track record of ≥ 3 successes in an area and can explain how it was achieved. To educate yourself on a topic, interview several experts or get them to have a thoughtful disagreement.
- Mental pain is a sign that you're attached to an idea. Use meditation to calm yourself down and do quiet reflection.
- Check if your decisions are supported by robust facts.

4. Understand how people are wired differently



We think and see the world differently because our brains are wired differently. To manage people, you must first understand them.

- All attributes can help and harm you, e.g. a goals-oriented person may be so driven that he fails to savor the present.
- Our brains can be trained for better performance. Each time you do/learn something, you create or strengthen certain neural connections to shape your brain.



Learn to manage your brain and internal conflicts:

- Connect your conscious and subconscious minds. Relax, "catch" your subconscious impulses (e.g. fear, defensiveness) as they surface and consciously choose to act logically.
- Reflect on the causes for your uncontrolled emotional outbursts to reconcile your feelings vs rational thought.
- Choose and develop good habits.
- Tap on the strengths of both the left-brain and right-brain. The former is stronger in linear analysis (e.g. facts, planning) while the latter is stronger in lateral thinking (e.g. creativity, stories).

KEY QUOTES

"Smart people who can thoughtfully disagree are the greatest teachers."

"People who don't learn radical open-mindedness don't experience the metamorphosis that allows them to do much better."

"It doesn't matter what you do with your life, as long as you are doing what is consistent with your nature and your aspirations."

 Use psychometric assessments to get a more accurate, complete picture of people. Bridgewater uses 4 key tools to identify introversion vs extroversion, intuiting vs sensing, thinking vs feeling, planning vs perceiving, task-focus vs goal-focus, and ideal roles for various archetypes. Experiment to find your own blend of tools.

 Knowing how you/others are wired helps you to put the right people in the right roles to support your goals. Dalio believed that his ideal successor should be a "Shaper", an archetype that's visionary, practical *and* determined, thus effective in various roles from visualization to actualization.

5. Learn to make decisions effectively



 Learn "what is" before deciding "what to do". To make good decisions, you must have facts/knowledge about the situation, visualize possible paths forward, *then* choose the best path.

- Synthesize the current situation: learn from believable and informed people, and differentiate fact from opinion.
- Synthesize the situation over time: plot data points over time to see a more complete picture.
 - (i) Consider the rates of change, the levels involved, and the relationships between them, e.g. a change from 21% to 25% is an "improvement", but still way below 100%.
 - (ii) Don't be a perfectionist. You can usually make good decisions with just 5-10 key factors. It's also faster to use approximations to discover what's true *by-and-large*, e.g. to estimate 40x10 instead of calculating 39x11. Focus on 20% of causes/effort that generate 80% of value.
- Navigate levels of reality effectively, like how you zoom in/out of Google Maps to see the path to your destination. Connect the sub-points to the main points and map out decisions at various levels to ensure they're consistent.

 Use these practices & principles to make good decisions:

- Use logic & evidence, not emotions or animal instincts.
- Calculate the expected value of each option by assessing the probability vs reward if you're right vs wrong. Try to raise your probability of being right to raise the potential value.

KEY QUOTES

"Organizing people to complement their strengths and compensate for their weaknesses is like conducting an orchestra."

"Learning must come before deciding."

"Listening to uninformed people is worse than having no answers at all."

"To see how the dots connect through time you must collect, analyze, and sort different types of information, which isn't easy."

"Reality exists at different levels and each of them gives you different but valuable perspectives."

"Anything is possible. It's the probabilities that matter."

- Sometimes, it's better to wait. Weigh the cost of not deciding vs gathering more info.
- Use principles to simplify and improve your decisions. Slow down and take note of your decision-making criteria → Write down the criteria as a principle → Test the principle in similar situations → Translate principles into algorithms (so you can use computers to test scenarios and check your decisions).



Part 2: Work Principles

Any organization is a machine made of 2 parts—culture and people—that influence each other. Great organizations have great people (with character and capabilities) and a great culture (where problems and disagreements

are surfaced/resolved and new solutions are created). Ideally, align your work with your passions, and to do it with people you want to build a future with.

As an organization grows from 5 to 500, it faces drastically different issues. Apply the 5-Step Process at an organizational level to refine your machine. In this section, we'll address principles to (i) get the culture right (Principles 1-6), (ii) get the people right (Principles 7-9) and (iii) build/evolve your machine (Principles 10-16).



KEY QUOTES

"In order to have the best life possible, you have to: (1) know what the best decisions are and 2) have the courage to make them."

"For any group or organization to function well, its work principles must be aligned with its members' life principles."

"In order to be great, one can't compromise the uncompromisable."

1. Adopt Radical Truth & Radical Transparency



In an idea meritocracy, everyone has a responsibility to ask questions and speak up to uncover the truth and best path.

- Radical truth is about putting forth your thoughts/questions honestly without filtration. Radical transparency is about giving most people the ability to see almost everything.
- There's more to fear from untruths than truths. Build a culture where everyone will ask "is it true?" and voice their opinions honestly. Discuss issues openly until you're fully in sync. Never condone deceit nor complain about people behind their backs.

"The more people can see what is happening—the good, the bad, and the ugly—the more effective they are at deciding the appropriate ways of handling things."

 Radical truth and transparency require people to face and share the harsh truths while managing huge amounts of info. But if done right, it delivers trust, learning and better decisions.

- *It minimizes speculation, politics and bad behavior.* Bridge water records its meetings so everyone can understand how decisions are made. People are more responsible when they know everyone can see what they say/do.
- *Transparency comes with responsibility.* Exclude, penalize or fire people who mismanage or misuse the system.
- *Radical transparency ≠ total transparency.* You can make rare exceptions, e.g. exclude private info that doesn't impact the community, or info that can hurt the organization's long-term interests.

2. Nurture Meaningful Work + Meaningful Relationships



 Meaningful work and meaningful relationships reinforce each other. When people trust and care for each other, enjoy being together, and push each other to excel, they thrive as a community and weed out bad people who mean harm to the organization.

 Establish clear, non-negotiable values/standards. Give more consideration to others than you demand from them. Respect others' ways of doing things so long as they're consistent with the principles and mission. Focus more on others' merits, not your own.

 Meaningful work is not just about money, but you must still pay for work. Define the quid pro quo clearly, with some give-and-take (e.g. pay variances to match work quality/hours). However, people are not *entitled* to your generosity, nor are you *obliged* to be equally generous to everyone.

 Build loyalty to the organization/mission, not to individuals. Watch out for people who put self-interest over organizational interest.

3. Make it a cultural norm to learn from mistakes



 Build a culture where it's normal to lay out, analyze and learn from mistakes, and unacceptable not to do so. Focus on

KEY QUOTES

"The higher the percentage of people who really care about the organization, the fewer the number of bad people there are."

"For most people, being part of a great community on a shared mission is even more rewarding than money."

"Create a culture in which it is okay to make mistakes and unacceptable not to learn from them."

your evolution. Don't penalize mistakes, but instead use failures as feedback to refine your approach until you succeed. Help capable people to reflect/learn from mistakes; remove incapable people and those who won't embrace mistakes.

 Focus on achieving your goal and outcomes, not on looking good. Emphasize accuracy and results, not credit or blame. Document your mistakes, connect the dots and find patterns to uncover underlying weaknesses. Tackle 1 top weakness at a time.

 Teach everyone to use pain as a signal for reflection: calm themselves, do self-reflection, and overcome biases and blind spots through honest feedback and open-mindedness.

 While it's good to learn from mistakes, be explicit on unacceptable mistakes that're too costly. Build measures to prevent them.

4. Get People in Sync



 Conflict can bring people closer by surfacing and resolving differences. Get people to list down the areas of disagreement and tackle them in order of priority (starting from those that involve values or decision-making processes).

 Use thoughtful disagreement to resolve conflict and uncover the truth. To do this, people must be open-minded and assertive, i.e. express their views clearly, see others' viewpoints, learn and adapt. If you're misunderstood, assume you have been unclear. Give decision-making authority only to open-minded people.

 If you're responsible for a meeting, run it well:

- Set the context (e.g. who's in charge, objectives). Pick participants who can add value to the decision (not those who think like you).
- Direct the meeting to achieve the goals: balance different views, navigate across levels, ask "is it true?", and use the 2-minute rule to manage disruption (i.e. let each person speak for 2 min without interruption).
- Complete each topic before moving on to the next. Conclude by stating the agreement and who to follow-up on what by when.

KEY QUOTES

"Every mistake that you make and learn from will save you from thousands of similar mistakes in the future."

"What you learn about each other will either draw you together or drive you apart."

"Their bad behavior doesn't justify yours."

"Conversations that fail to reach completion are a waste of time."

- Leverage communication to share the outcome with large numbers of people (e.g. record your meetings, use FAQ boards).



Typically, groups are less effective when they're too large; small groups of 3-5 are the most synergistic. Prioritize your relationships based on value-alignment.

5. Use Believability-Weighted Decision-Making



In an idea meritocracy, you must be able to evaluate each idea's merit. Believable opinions are more likely to yield good outcomes. Be a student, teacher, or peer (ask questions, teach, or debate) depending on the other party's believability relative to yours.



Pay attention to the data and reasoning behind conclusion.

- Weigh an idea based its probability of being right. An experienced person who can't explain the reason for his opinion can be less believable than an inexperienced person with a sound, testable theory.
- Approach only relevant, believable people for insights and create your system to calculate people's believability. Bridgewater uses Baseball Cards (with adjectives and scores to describe what people are like) and the Dot Collector app (which tracks people's past successes).



Use your limited time to manage differences efficiently. Dalio recommends picking just 3 believable people for inputs. When you want the *best answers*, involve the most relevant people (e.g. your managers, direct reports and/or agreed experts), but when you want to *educate* or *unite*, involve a wider range of people regardless of their believability. If something is important, invest the time/effort to get in sync; otherwise just let it go.



Believability-weighting is a tool to help decision-makers; it doesn't overrule or remove their responsibility. As the decision-maker, you should adopt the believability-weighted choice unless you can pin-point why your own opinion is different and worth the risks.

KEY QUOTES

"While the believability-weighted answer isn't always the best answer...it is more likely to be right than either the boss's answer or an equal-weighted referendum."

"Dealing with raw opinions will get you and everyone else confused; understanding where they come from will help you get to the truth."

"It's more important to do big things well than to do the small things perfectly."

6. Have an agreed resolution process



This is essential in the event people can't resolve a conflict on their own. Escalate the dispute to an agreed third-party or have a believability-weighted vote. Everyone must follow the process strictly—any change can only be made after a proposal is made and approved at an organizational level.



A right to debate ≠ a right to make decisions. Once an issue is debated and decided, everyone must stand behind the final decision. Give decision-making power to people who will put organizational interests above self-interests.

7. WHO comes before WHAT



Ensure the right person is on the job, before you worry about what should be done. Define the goal → Give the goal to people who can achieve it → Hold them accountable → Replace them if they fail despite training & learning opportunities.



If you have the right Responsible Parties (RPs) with clear accountability, they'll find a way to achieve the goals. Always align individual incentives with responsibilities and outcomes. Everyone must report to someone (even owners must satisfy their clients and employees).

8. Hire right... You pay dearly for wrong hires



Match people to your machine's design, not vice versa. Get crystal clear on the exact type of person you want and develop the methods to evaluate those attributes.

- Define what's required to do a job well, in this order of priority: (i) *values* (deep-set beliefs that decide if people will fit in), (ii) *abilities* (how they think/act) and (iii) *skills* (learned tools e.g. language).
- Only choose the right person with an outstanding track record and fits the role so well you can almost hear a "click".
- Develop a systematic, scientific hiring approach. Document the best interview questions, non-verbal cues to watch for, etc. Use personality assessments to get a more objective

KEY QUOTES

"Principles are like laws—you can't break one simply because you and someone else agree to break it."

"While all individuals have the right to have their own opinions, they do not have the right to render verdicts."

"Change the people and you change how things develop."

"If you're less than excited to hire someone for a particular job, don't do it."

picture. Choose interviewers who can relate to the people you want (e.g. use a visionary interviewer for a visionary role, or a group of interviewers who collectively possess the range of desired qualities).

 Pay attention to track records—they help you to figure out what someone is like and what you can expect from them. Examine if the person has the *required values, abilities* and *skills*, and has succeeded in those areas $\geq 3x$. Use reference checks; don't just rely on the candidates' inputs. Look for both capability *and* character.

 Don't just hire for current job-fit. Hire people you want to build a future with, i.e. they share your values/mission, will push you to improve, and want to join you despite knowing the challenges. Offer them stability and opportunity. Pay slightly above market with extra performance-based rewards to motivate them to work hard and grow the pie. Build partnerships based on mutual generosity and consideration.

9. Train, test, evaluate and sort people continuously



 You can't create a perfect career plan from the start. You must discover people's preferences and strengths/weaknesses by training and testing them in specific roles. To manage the personal evolution process, give people new assignments, have periodic reviews, and keep moving them to more suitable roles.

- It usually takes 6-12 months to roughly gauge a new hire, and 18 months to integrate him into the culture.
- Hands-on experiences are more effective than book learning. Ideally, have ≥ 2 believable trainers per trainee so they can triangulate their views. Don't dictate how people must do things; let them make acceptable mistakes and use these opportunities to get in sync.
- Offer constant feedback on what works/doesn't work. Look at both successes and failures to uncover truths about what they did well/badly and why. Be precise and accurate. Clarify that the feedback is to facilitate learning and doesn't affect performance rating.

 It's easier to give compliments and rewards. But in the long run, tough love is more valuable: give people constructive

KEY QUOTES

"Pay people enough so that they're not under financial stress, but not so much that they become fat and happy."

"The greatest gift you can give someone is the power to be successful."

criticism and the chance to learn from mistakes. Define clear rules and use metrics to track performance against those rules.

 Your goal is to know how people are like, so you can place them in the right jobs.

- Use tools (e.g. metrics, reviews, surveys) to capture people's performance from various angles, then connect the dots to get a full picture of a person.
- Assessments should be a joint effort to uncover the truth, not 1-way judgments. Both reviewer and reviewee must agree on the assessment. Give specific feedback regularly, then connect the dots with periodic reviews. Look at outcomes and processes.
- Help people to (i) know their shortcomings and root causes, (ii) feel motivated to change, and (iii) know how to improve.

 Uphold the standards. If someone can't make the cut, let him go.

- It's easier to equip people with skills than to change their values and abilities. If someone is failing due to a lack of values/abilities, it's better to let them go.
- Continuously evaluate employees throughout their career. At each point, ask if you'd hire them knowing what you now know.

10. Run your machine as a manager/designer



 At a high level, any role involves setting goals and creating systems to achieve them. Don't get lost in daily tasks.

- Be an organizational engineer: see how the parts are connected, measure their performance, and improve the overall design.
- Diagnose if gaps in performance are due to a design flaw or people issues. Study repeated problems to find the root causes.
- Build metrics to answer the most vital questions and give an overview of how well your machine is working.
- Treat everything as a case study to develop principles for future decisions. Consider why something occurred at a

KEY QUOTES

"You reach a point in all relationships when you must decide whether you are meant for each other."

"Great managers orchestrate rather than do. Like the conductor of an orchestra, they do not play an instrument, but direct their people so that they play beautifully together."

machine-level, then consider *what* to do at the case-level. Use higher-level principles to guide lower-level ones.



Manage for results: (i) manage others effectively, (ii) step down to address something not being done well, and (iii) escalate things if you can't handle it.

- Know people well to use them well. Don't delegate to someone unless you know they can handle the job.
- Ensure people are clear about their responsibilities. Get everyone to think like an owner, e.g. they must still ensure things work well while they're on vacation.
- Set clear expectations, hold one another accountable for results, and push yourselves beyond your current limits.



Probe deeply to know what to expect from the machine. To anticipate problems before they occur, you need (i) a minimum level of knowledge in an area and (ii) close rapport with people. Get daily updates from your direct reports to stay on top of their activities, issues and reflections, and go beyond direct reports to see a fuller picture. Probe transparently and welcome others to probe you too.



Great leadership is about (i) uncovering the best decisions/answers and (ii) bringing people along on the discovery process.

- Don't insist that people follow your instructions. Instead, help people get in sync and align their tasks and goals.
- Tailor your approach for each person based on what they're like and their circumstances. Be principled but care for people.
- Communicate plans clearly and measure your progress.
- Anyone who can't cope has the responsibility to escalate it so the manager can decide what to do.

11. Don't Ignore or Tolerate Problems



If you aren't somewhat-paranoid about maintaining excellence, small issues will eventually snowball into real problems.

KEY QUOTES

"There is no greater failure than to fail to escalate a responsibility you cannot handle."

"Don't treat everyone the same—treat them appropriately."

"Making sure that little problems don't exist is important because, if they're allowed to continue, they will grow into big problems."

 Have someone responsible for designing and overseeing your machine. Ideally, find people with high standards, are good with metrics, can probe deeply into issues and synthesize well.

- Beware of creeping problems that you may have gotten used to. Any gaps between your goals and outcomes can signify problems.
- Involve everyone. Invite feedback and encourage people to surface problems. Get everyone to check their own outputs.

 Pinpoint the specifics (e.g. names and specific events). Don't generalize using "we" or "they". Tackle tough problems with the what-who-when approach: what's the problem, who's responsible, and when you should discuss it.

12. Diagnose Problems Root Causes



 Ask good questions, e.g. Is the outcome good or bad? If it's bad, is it due to an incapable Responsible Person (RP) or bad design? Who should do what differently?

- Identify where the failure occurred in the 5-Step Process. Consider if any principles were violated and how you can use principles to prevent similar occurrences.
- Consider what was known at the time the decision was made (not what you know now).

 If you know a department has problems, "drill-down" to identify the root causes using the 80/20 rule. List down the key problems → List down the causes for each problem → Keep asking "Why" to identify root causes → Create a plan → Execute it.

 Do ongoing diagnosis to see patterns/trends over time. Seek inputs from believable people.

13. Keep improving your machine design



 Design is an iterative process—you must repeatedly test different people and processes, then refine accordingly. Translate criteria → principles → algorithms so you can apply principles consistently. Make tactical adjustments without losing your strategic goals.

KEY QUOTES

"It's one thing to point out a problem; it's another to have an accurate diagnosis and a quality solution."



Build the machine/organization around goals, not tasks.

- Provide strong oversight using believable people who have high standards and specific knowledge/skills. Keep the ratio of managers to direct reports to around 1:5 and no more than 1:10. Hire managers before hiring their reports.
- Assign the right people to the 5-Step Process, e.g. a Visionary to set goals, a Detective to diagnose problems, etc.
- Make departments self-sufficient and accountable for their resources. It's ok to temporarily share resources between functions if you're small, but don't merge the responsibilities.
- Cater for succession & training, e.g. selecting/training/monitoring new leaders, preserving your culture and values. For mission-critical tasks, it's better to "double-do" (have ≥ 2 people do the same task) rather than "double-check".



Your org chart should look like pyramids within a pyramid, with minimum layers and no crisscrossing of lines.

- Have clear reporting lines and responsibilities, both within and between departments. Avoid dual reporting if possible. All cross-functional work must be pre-agreed between the leaders.
- Ideally, put people in roles where they'll naturally excel. But if needed, you can create guardrails (e.g. pair up with someone to cover blind-spots).



Install controls against dishonesty. Have auditors enforce your laws, then audit the auditors. Do transparent investigations and "public hangings" to make consequences obvious.

14. Execute your plans



Connect your tasks to exciting goals. Manage and motivate people to move in sync. Plan before you act. If you get stuck, step back, triangulate and look for creative solutions.



Don't just work harder. See things at a higher level to (i) prioritize, (ii) delegate to the right people and (iii) improve your productivity.



Use checklists to ensure you complete your tasks, while setting your sights on your wider goals/responsibilities.

KEY QUOTES

"An organization is the opposite of a building: Its foundation is at the top, so make sure you hire managers before you hire their reports."

"If you're not excited about the goal that you're working for, stop working for it."

Set aside time to rest and rejuvenate, and celebrate when you achieve your goals.

15. Use tools and protocols to shape habits



The only way to change behaviors is to practice something until you internalize the lessons and form habits. To run an idea meritocracy, you need tools to collect, process and present data in a way that facilitates learning, decision-making and action.



To help you design your own tools/protocols, Dalio describes Bridgewater's tools and protocols in an Appendix. These include coaching, the Dot Collector app, baseball cards, daily updates, manuals, metrics, etc.

16. Pay attention to governance



Governance is the system of oversight, with checks and balances to safeguard an organization's interests and principles.

- Besides meritocracy, consider other vested interests for assigning responsibility and authority (e.g. owners may have certain veto rights to protect their interests).
- No one should be above the law or irreplaceable. Loyalty to a boss or unit must never supersede that to the organization.
- Clearly lay out the reporting lines, decision-making rights, and the layers of oversight. People responsible for oversight must have (i) full info on the people they're checking on, (ii) the ability to make sound assessments, and (iii) no conflicts of interest. Decision-makers must be trustworthy enough to have all relevant info.



Other Details in the Book to Look out For

This is a voluminous book. Dalio presents more than 500 principles, broken down into higher-level principles, mid-level principles and sub-principles, many of which are inter-related. In this summary,

KEY QUOTES

we've consolidated the principles and key ideas. You can get deeper insights by reading the principles alongside Dalio's detailed personal journey.

These Principles are not meant to be a magic formula, but a resource to help you develop your own Life and Work Principles. For more details, tools and resources, pls visit www.principles.com.

About the Author



Raymond Dalio (born 1949) is an American billionaire investor, hedge fund manager, and philanthropist. He's the founder, co-chairman and co-chief investment officer of investment firm Bridgewater Associates, one of the world's largest hedge funds. In Feb 2020, Dalio was ranked by Bloomberg as the world's 79th-wealthiest person.

Dalio began investing at the age of 12. He received a bachelor's degree in finance from Long Island University and an MBA from Harvard Business School. Thereafter, he worked as a trader, as the Director of Commodities at Dominick & Dominick LLC, then a futures trader and broker at Shearson Hayden Stone, before starting Bridgewater Associates.

KEY QUOTES